

RULES FOR AFFLUENT PARENTS AND PRODUCTIVE CHILDREN

The affluent who have successful adult children have given us much valuable information on how they raised them. Here are some of their guidelines:

1. Never tell children that their parents are wealthy.

Why is it that many of the adult children of UAWs are more likely to earn high incomes than to accumulate wealth? We believe one of the major reasons is that as children they were constantly told their parents were wealthy. Adult UAWs tend to be the product of parents who lived in ways they thought appropriate for wealthy people to act. They lived the high-status/high-consumption lifestyle so popular in America today. It's no wonder their sons and daughters attempt to emulate them. Conversely, adult PAWs whose parents were wealthy have told us time and time again:

I never knew my dad was wealthy until I became executor of his estate. He never looked it.

2. No matter how wealthy you are, teach your children discipline and frugality.

As you may recall, in Chapter 3 we profiled Dr. North, a wealthy man whose adult children live frugal, well-disciplined lives. Dr. North detailed how he and his wife raised their children. Simply stated, they taught by example. Their children were exposed to credible role models whose lives were characterized by their discipline and frugality. Dr. North said it best: